

**MODERNIZING THE H-2A
PROGRAM FOR A
RESILIENT AGRICULTURAL
ECONOMY**



PART I. H-2A POLICY DESCRIPTION

- WHAT IS H-2A
- HOW IT WORKS
- THE NECESSITY AND
ECONOMIC REALITY OF H-
2A

WHAT IS H2A?

Definition: A federal program allowing U.S. agricultural employers to hire foreign nationals for **temporary or seasonal** labor.

The Goal: To fill a critical manual labor gap that domestic workers are unable or unwilling to fill.

The Scope: It is the fastest-growing visa program in the U.S., tripling in size over the last 10 years to meet domestic demand (Costa & Zipperer, 2024).





HOW DOES IT WORK?

Step 1: The "Market Test" (Recruitment)

**Step 2: Department of Labor (DOL)
Certification**

Step 3: The "Premium" Commitment

Step 4: Visa Issuance & Arrival

THE NECESSITY AND ECONOMIC REALITY OF H-2A

A "Necessary Evil"

H-2A serves as a critical safety valve for a domestic labor shortage.

The Price of Necessity

When a program is built out of desperation, humanitarian and economic standards often suffer.





PART II. STAKEHOLDERS ANALYSIS

- WHO IS AFFECTED BY THE POLICY?
- HOW ARE THEY AFFECTED?
- POLICY CONTROVERSY?
- CONFLICTING SIDES OF POLICY EFFECTS/ISSUE?

WHO IS AFFECTED?

Communities

- The seasonality of agricultural labor ensures the local communities feel the effects of the incoming workers

The workers: Foreign and Domestic

- Workers from abroad tend to come from Mexico, Guatemala, South Africa, and Jamaica
- Domestic workers are guaranteed the same wage as foreign workers under a foundational principle of the H-2A program

Consumers

- With domestic labor shortages in the agricultural industry, the supplemental foreign work force allows for many fruits and vegetables to remain available and affordable





HOW ARE THEY AFFECTED

Foreign Workers

- While here, workers inject money into the community via local services, but similarly can strain local services (hospitals, schools, etc.) Ill-suited for an increase of people
- Despite the AEWR, foreign workers are generally earning a higher wage relative to their home country, where they bring the majority of their money back to

Domestic Workers

- Domestic workers end up competing with the pool of foreign workers
- Despite AEWR, the pool of reliable foreign labor disincentivizes farms to raise wages to attract domestic workers

WINNERS AND LOSERS

Winners

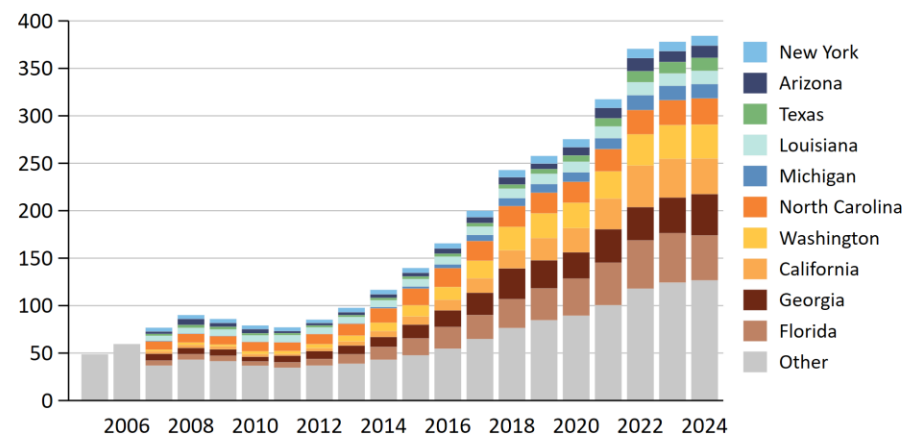
- **Consumers and U.S. Food Supply**
 - Products remain available, affordable, and stable
- **Foreign Workers and their Home Countries**
 - Earn proportionally higher wages than are available back home
- **Large Agricultural Employers**
 - Large Ag. Businesses can absorb the costs associated with bringing in H-2A workers
 - Protection from labor shortages

Losers

- **Taxpayers**
 - Taxpayers bare the cost of the program
- **Small Scale Farms**
 - Cannot bare the costs to support H-2A
 - Pay H-2A costs before workers ever arrive
- **Domestic Workers**
 - Wage stagnation

U.S. H-2A (temporary agricultural employment of foreign workers) positions certified by State, fiscal years 2005–24

Seasonal positions certified (thousand)



Note: State-level data are not available for fiscal years 2005–06. Individual States identified in the chart were the top 10 in the number of H-2A jobs certified in fiscal 2024. About 80 percent of job certifications result in visas being issued to H-2A workers—some employers do not follow through to hire H-2A workers and some workers fill two certified jobs.

Source: USDA, Economic Research Service using data from U.S. Department of Labor, Office of Foreign Labor Certification.

POLICY CONTROVERSY

Domestic Interference and AEWR Controversy

- The search for Domestic labor is often criticized for being low effort and for show
- Critics argue AEWR still does little to attract domestic workers to the Agricultural sector

Tied Visas

- Legal status of workers is tied to a single employer
 - Some argue this can lead to exploitation of the foreign workers
 - Those in support feel this is a core feature of the program, and grants employers fair rights when considering the cost of H-2A labor





PART IV. STAKEHOLDER INTERVIEW

- **About the stakeholder**
- **The Policy Stance**
- **The Economic Drain**
- **The "Lose-Lose"
Situation**

STAKEHOLDER POLICY STANCE



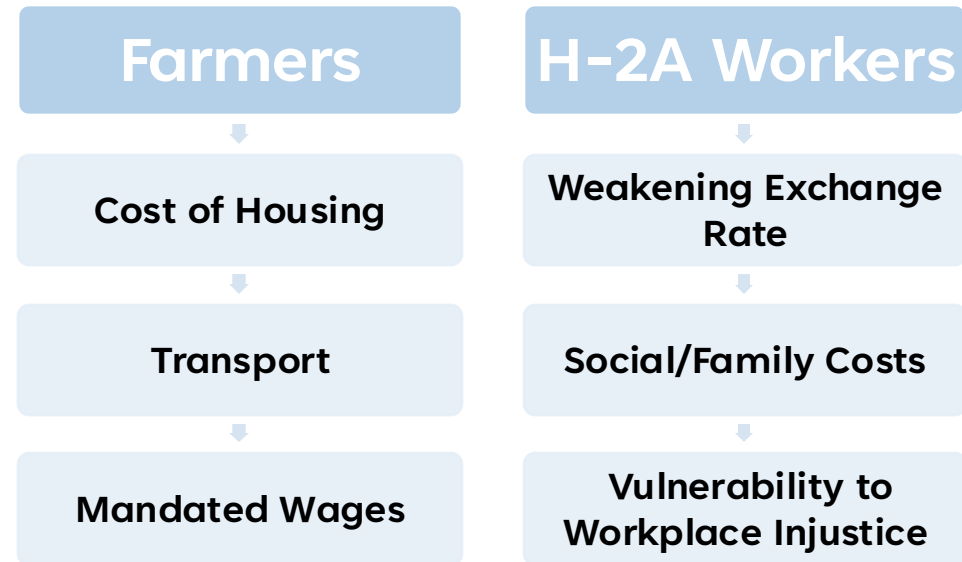
- The Academic Lens: Macroeconomics, Humanitarian Assistance, and Ethics
- The "Necessity" Trap: Policies born out of necessity are rarely designed correctly.
- The Ethical Risk: High financial pressure risks treating workers as "mere inputs" rather than people.
- Verdict: H-2A is a "Dying Breed" of policy, unsustainable at the current rate and mechanization is inevitable.

THE MACROECONOMIC LEAK

- Net Capital Outflow: \$3 million/day in wages leaves the U.S. economy
- The Wage Premium: H-2A workers earn \$2/hr more than domestic average
- Shrinking Incentive: Weakening USD and growing foreign economies reduce worker motivation
- Diminishing Returns: High labor costs (wages+housing) make U.S. crops less competitive vs. Imports
- Systemic Fragility: Reliance on "leaky" capital prevents long term domestic investment



THE DOUBLE SQUEEZE: A "LOSE-LOSE SYSTEM"



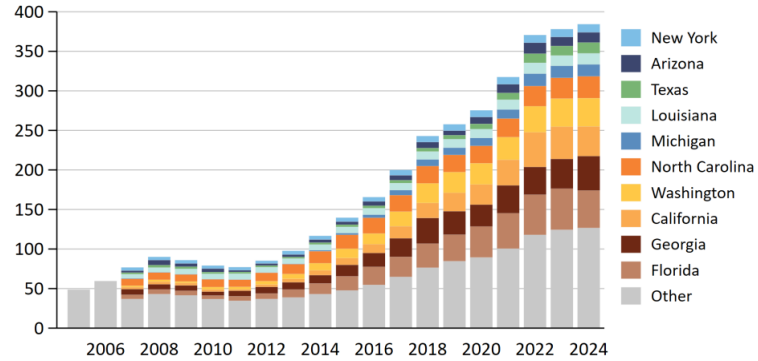


PART III. ECONOMIC ANALYSIS

- **ECONOMIC EFFECTS**
- **COST-BENEFIT
ANALYSIS**

U.S. H-2A (temporary agricultural employment of foreign workers) positions certified by State, fiscal years 2005–24

Seasonal positions certified (thousand)



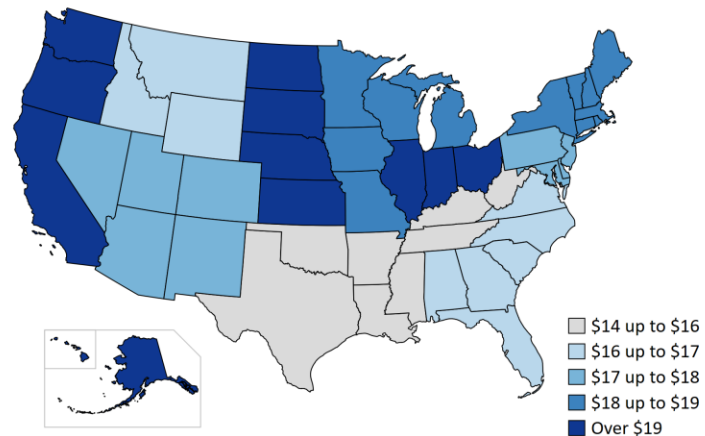
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Source: USDA, Economic Research Service using data from U.S. Department of Labor, Office of Foreign Labor Certification.

ECONOMIC EFFECTS

- Increases labor supply in agriculture
- Reduces labor shortages (specialty crops)
- Establishes wage floor (AEWR)
 - Spillover (domestic wage)
- Increase production costs
- Pressures food prices to increase
- Stabilizes production output (prevents crop loss)

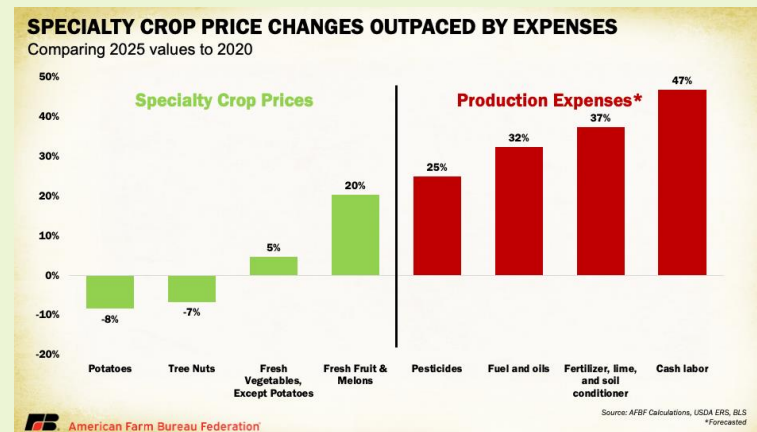
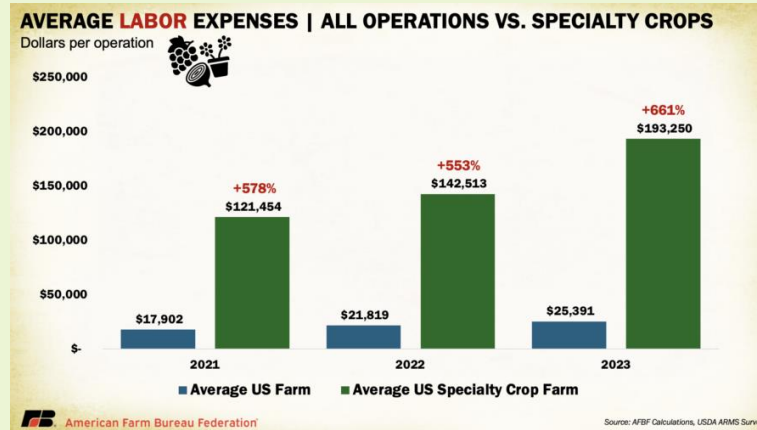
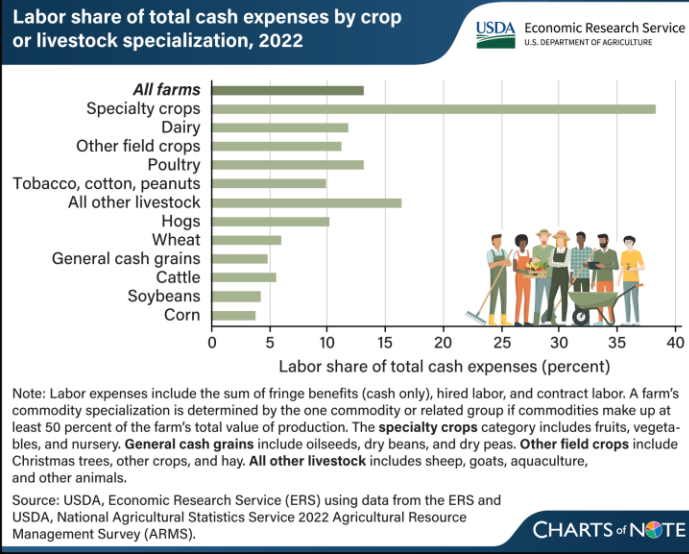
Adverse Effect Wage Rates (AEWR), field and livestock occupations, 2025



Note: The AEWR for Alaska is determined using data from U.S. Department of Labor, Bureau of Labor Statistics, Occupational Employment and Wage Statistics program. Alaska is not included in the Farm Labor Survey.

Source: USDA, Economic Research Service using data from U.S. Department of Labor, Office of Foreign Labor Certification (OFLC), as of December 26, 2024.

COST-BENEFIT ANALYSIS



Costs:

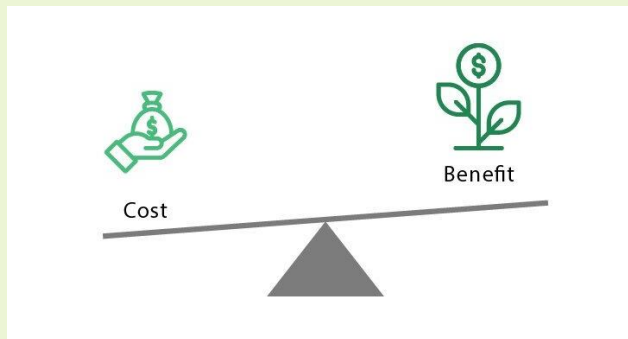
- Increase labor costs (AEWR)
- Compliance expenses
- Increase production costs
- Increase food prices

Benefits:

- Reliable/Legal labor supply
- Reduced crop loss
- Increased productivity

Net Effect:

- Reliable and stable food production
- Higher costs passed down the supply chain



A landscape photograph of rolling green hills under a sunset sky. The sky is a mix of orange, yellow, and light blue. The hills are covered in green grass and have a soft, hazy appearance. A white rectangular box is overlaid on the left side of the image, containing the text 'PART V. POLICY STANCE AND IMPROVEMENT STRATEGIES' in white, bold, sans-serif capital letters.

PART V. POLICY STANCE AND IMPROVEMENT STRATEGIES

- IS THIS A GOOD POLICY?
- HOW SHOULD IT BE MODIFIED?

IS THIS A GOOD POLICY?

Efficiency: Slow efficiency and high cost

- H-2A filing is a convoluted process that requires juggling three different federal agency requirements, employee responsibilities and mailing timelines. The application need to be submitted 60-75 days in advance.
- H-2A application costs jump 198% in two years. Mandatory housing, transportation, and escalating wage rates have also contributed to higher costs. By the time workers arrive, farms can spend as much as \$15,000 per H-2A employee before a single crop is picked.
- The minimum wage for H-2A workers increased significantly.

H-2A Application Costs		
Expense	Cost	Occurrence
Employment Certification (<i>DOL</i>)	\$100 \$10	per certification per employee
I-129 Filing Fee (<i>USCIS</i>)	\$760-\$1,690	per 25 employees
Visa Application (<i>State</i>)	\$205	per employee
Visa Integrity Fee (<i>DHS</i>)	at least \$250	per employee
Border Stamp (<i>USCIS</i>)	\$24	per employee
TOTAL	at least \$1,349	for 1 employee

IS THIS A GOOD POLICY?

Insufficient protection of the workers

- Contractors abusing and exploiting these workers — including stealing their wages, charging illegal fees, forcing them to live in substandard housing, physically and sexually abusing them.

Adequacy: The coverage is narrow

- Since H-2A is only applicable for seasonal work, farms that operate throughout the year are excluded, such as dairy farms and livestock farms. These employers do not have reliable options for labor when there is a shortage of domestic workers.



Federal investigators have found inadequate housing for H-2A workers provided by labor contractors. Obtained by ProPublica

HOW SHOULD IT BE MODIFIED?

Reform the H-2A visa program

- Using an electronic platform: allows employers to file one application staggered throughout the year. Provide more flexibility for agricultural employers and protections for workers.

Extend visa durations

- Support year-round agricultural operations, including dairy and livestock.

Reform the AEWR calculation

- Balance fair wages with economic sustainability for employers.

Reduce compliance and housing costs

- Through tax credits, cost-sharing programs, or regional flexibility.

A landscape photograph of a field with a path leading to a distant horizon under a dramatic, cloudy sky. The text "THANK YOU" is overlaid in the center.

THANK YOU